

WEEK 9 | VIDEO 2

Understanding Prop Firm Rules

How Evaluations Actually Work

By The End Of This Guide You Will:

1. Understand profit targets and how they shape risk
2. Know max drawdown rules and why they end challenges
3. Understand the difference between static and trailing drawdown
4. Know how daily loss limits work (including unrealized losses)
5. Be able to read any prop firm rule sheet without confusion

Most traders fail funded challenges not because they trade badly — but because they misunderstand the rules.

THE FOUNDATION

Why Rules Matter More Than Strategy

In the last lesson, we covered what prop firms are and what they're testing. Now we're going to break down the mechanics.

Because most traders fail funded challenges not because they trade badly — **but because they misunderstand the rules.**

Today, we remove confusion.

SECTION 1

■ Profit Target — What It Actually Means

A profit target is the percentage gain required to pass the challenge.

Account Size	\$100,000
Profit Target	8%
Required Gain	\$8,000

Sounds simple. But here's the trap:

THE TRAP

The profit target is fixed. The drawdown is fixed. Which means your **risk must be structured around both**. It's not about how fast you hit the target. It's about whether you can reach it without touching the boundary lines.

SECTION 2

■ Maximum Overall Drawdown — The Line That Ends You

This is the maximum total loss allowed from the starting balance. If your account drops below that number at any time, you fail.

Account Size	\$100,000
Max Drawdown	6%
Fail Level	\$94,000
Rule	Cannot fall below — ever.

■ **CRITICAL DETAIL**

It doesn't matter if you were up \$5,000 earlier. If you drop below the drawdown level, the challenge is over. Drawdown is absolute.

SECTION 3

■ Daily Drawdown — The Silent Killer

Daily drawdown is the maximum you can lose in a single trading day.

And here's the key detail:

■ MOST TRADERS GET CAUGHT HERE

Many firms calculate daily drawdown based on **equity, not just closed trades**. That means unrealized losses count. You can be in a trade, not have closed it, and still violate the daily rule.

SECTION 4

■ Static vs Trailing Drawdown

This is one of the most misunderstood parts of prop trading. Understanding which type you're trading under is **critical**.

STATIC DRAWDOWN

The loss limit stays **fixed** at the starting balance.

Start: **\$100,000**

Max DD: **6%**

Fail Level: **\$94,000**

Even if you go up to \$105,000, the fail level **stays at \$94,000**.

TRAILING DRAWDOWN

The drawdown level **moves up** as your balance increases.

Start: **\$100,000**

Peak: **\$105,000**

Fail Level: **\$99,000** (moves up)

Your cushion **shrinks as you grow**. Trailing models punish volatility more aggressively.

SECTION 5

■ Minimum Trading Days & Consistency Rules

Some firms require additional criteria beyond profit and drawdown:

- A minimum number of trading days
- Profit consistency limits
- No single day over a certain percentage of total profit

This prevents traders from:

- YOLOing one oversized trade
- Passing off one lucky win as skill

The firm wants to see repeatable behavior.

SECTION 6

■ What Actually Causes Most Failures

It's rarely bad setups. It's usually:

- ✗ **Oversizing relative to drawdown** — Position size exceeds what drawdown math allows
- ✗ **One more trade near daily limit** — Pushing when you should be done for the day
- ✗ **Emotional trading after a loss** — Revenge trading to recover instead of stopping
- ✗ **Not calculating risk per trade** — Entering without knowing exact dollar risk

KEY INSIGHT

Most failures happen within **2–3 trades** of violating limits. That's not strategy failure. That's **risk structure failure**.

SECTION 7

■ How to Read Any Prop Firm Rule Sheet

When you open a prop firm page, look for these 7 items. If you understand them, you can trade any firm — crypto or futures. It's the same structure.

#	Item	What To Check
1	Profit Target %	The gain required to pass
2	Max Overall Drawdown %	Total loss limit from start or peak
3	Daily Loss %	Max single-day loss allowed
4	Static or Trailing?	Does drawdown move up with balance?
5	Equity or Balance Based?	Do unrealized P&L count?
6	Minimum Trading Days?	Must you trade X days minimum?
7	Consistency Rules?	Limits on single-day profit %

The Bottom Line

✗ Misunderstand the rules

✓ Understand the rules clearly

You will sabotage yourself.

You can build risk around them.

NEXT UP | VIDEO 3

- Crypto vs futures prop firms — key differences
- How markets behave differently across asset classes
- How to choose the right environment for your framework

***The goal isn't just passing one challenge.
It's building a sustainable system.***